MCQ Questions

1. The primary role of a financial system is:
a) Controlling government spending
b) Channeling funds from savers to borrowers
c) Regulating international trade
d) Printing money

2. Financial systems contribute to economic growth mainly by:
a) Increasing consumer debt
b) Allocating capital efficiently
c) Raising taxes
d) Controlling population growth

3. Financial markets are crucial because they:
a) Guarantee profits for investors
b) Allow funds to move from surplus units to deficit units
c) Eliminate government regulation
d) Reduce the need for savings

4. Capital markets primarily deal with:
a) Long-term debt and equity instruments
b) Short-term loans
c) Foreign exchange
d) Derivative contracts only

5. The difference between primary and secondary markets is:
a) Primary markets involve resale of securities
b) Secondary markets involve initial issuance of securities
c) Primary markets raise new funds, secondary markets provide liquidity
d) Secondary markets are illegal trading platforms

6. An example of a **secondary market transaction** is:
a) A company issuing new shares
b) An investor selling existing bonds to another investor
c) A government auction of new treasury bills
d) A bank issuing a loan

7. A function of secondary markets is:
a) Providing liquidity to investors
b) Issuing new securities
c) Controlling monetary policy
d) Guaranteeing profits

8. Organized exchanges like the NYSE are examples of:
a) Over-the-counter markets
b) Primary markets
c) Centralized secondary markets
d) Informal finance

9. Indirect finance involves:
a) Borrowers obtaining funds directly from savers
b) Savers lending directly to corporations
c) Funds flowing through financial intermediaries
d) Governments printing money

10. Which is a **depository institution**?
a) Commercial banks
b) Insurance companies
c) Pension funds
d) Finance companies

11. The primary source of funds for **life insurance companies** is:
a) Premiums from policyholders
b) Bank deposits
c) Government subsidies
d) Corporate taxes

12. Pension funds primarily provide:
a) Loans to small businesses
b) Retirement income for workers
c) Insurance against default
d) Short-term consumer loans

13. Mutual funds allow investors to:
a) Invest in a diversified portfolio of assets
b) Borrow money directly from banks
c) Avoid financial markets altogether
d) Guarantee fixed returns

14. Which is a **non-depository financial intermediary**?
a) Savings banks
b) Mutual funds
c) Credit unions
d) Commercial banks

15. The **direct flow of funds** occurs when:
a) Savers deposit money in banks
b) Borrowers sell securities directly to savers
c) Government collects taxes
d) Central banks issue new currency

16. In **indirect finance**, financial intermediaries:
a) Eliminate the need for markets
b) Issue claims on themselves (provide savers with financial products like deposits, shares, or policies) and lend to borrowers
c) Prevent borrowers from accessing funds
d) Ensure only governments can borrow

17. The flow of funds is important because it:
a) Ensures all investments are risk-free
b) Channels savings into productive investments
c) Eliminates stock markets
d) Guarantees fixed returns

18. Which best distinguishes the debt market from the equity market?
a) Debt markets provide ownership rights, equity markets provide fixed payments
b) Debt markets involve fixed claims with interest, equity markets represent ownership claims with residual profits
c) Equity markets guarantee repayment at maturity, debt markets do not
d) Debt markets are always riskier than equity markets

19. Which describes their relationship?
a) Financial markets are a part of capital markets
b) Capital markets are a subset of financial markets
c) They are completely separate
d) Financial markets deal only with money markets

20. The key difference between money markets and capital markets is:
a) Money markets trade long-term instruments, capital markets short-term
b) Money markets handle short-term debt instruments, capital markets long-term debt & equity
c) Capital markets guarantee returns, money markets do not
d) Money markets are unregulated, capital markets are regulated

21. Which of the following best distinguishes a bank's balance sheet from that of a non-financial firm?
a) Banks hold deposits as their main liability, while firms hold equity and debt as their main liabilities.
b) Firms hold loans as assets, while banks hold inventories as assets.

c) Both banks and firms primarily rely on customer deposits for funding.
d) Banks' main asset is fixed capital, while firms' main asset is financial claims.

22. A key difference between banks and non-bank financial institutions is:
a) Banks hold loans as assets and deposits as liabilities, while non-bank financial institutions typically do not take deposits
b) Both rely mainly on deposits
c) non-bank financial institutions' assets are only government securities, banks hold none
d) They have identical structures

23. On the liability side:
a) Banks' major liability is customer deposits, while non-bank financial institutions is insurance/pension obligations
b) Both rely mainly on central bank funding
c) Both rely equally on household deposits
d) Banks' main liability is shares issued, same as while non-bank financial institutions

24. Which distinguishes depository from non-depository institutions?
a) Depository institutions accept deposits and make loans, while non-depository institutions provide financial services without deposits
b) Non-depository institutions accept deposits, depository provide advice
c) Depository institutions invest only in equities, non-depository only in bonds
d) Both have identical funding sources

25. Which is a non-depository institution?
a) Commercial bank
b) Savings bank
c) Insurance company
d) Credit union